Post-midterm US-Iran escalation likely to drive Brent higher

送信者: EG Daily Brief 受信日時: 2026-10-20 21:16

【メール原文】

Likely US escalation against Iran after the midterms would push oil further above $110. The EU is looking to pivot from primarily regulating AI to ind

Daily Brief
Customize Email Preferences

Post-midterm US-Iran escalation likely to drive Brent higher

20 Oct 2026 08:09 EDT Discover more on the Portal

summary

*
Likely US escalation against Iran after the midterms would push oil further above $110.
*
The EU is looking to pivot from primarily regulating AI to industrializing it.

*
UK Chancellor John Healey’s budget will defer critical choices and fuel speculation about a 2027 general election.
*
The inflation shock caused by the Iran war could threaten incumbents’ electoral prospects.
*
Countries and sectors in this edition of the Daily Brief include the US, Brazil, Colombia, the EU, the UK, the Middle East and North Africa, geoeconomics, geo-technology, and oil.

the top line

Oil—Prices likely to rise further above $110 on expected November escalation

*
The US is likely to escalate against Iran after the midterm elections on 3 November, pulling oil prices into a higher band of $110 to $125 per barrel.
*
Middle East flows are falling due to aggressive Iranian attacks, which are likely more frequent than data suggest.
*
Despite US eagerness for a deal, Russian diesel exports are likely to remain suppressed amid ongoing Ukrainian attacks.
*
Read more here . Reach out to discuss: ecr@eurasiagroup.net .

Geo-technology,EU—Brussels will aim to industrialize AI through 2027

*

Brussels is trying to pivot from primarily regulating AI to industrializing it, prioritizing competitiveness and sovereignty over new rulemaking.

*

Brussels will deploy industrial, competition, and data policy to support the EU's AI sector, boost business adoption, and reduce the bloc's dependence on the US, while also expanding the scope of existing regulations to cover AI and cloud services.

*

The EU AI Act will continue to enter into force in stages over the next two years, but fragmented enforcement across EU member states, some of which have passed additional AI laws, is likely to complicate implementation.

*

Read more here . Reach out to discuss: geo-technology@eurasiagroup.net .

UK—Cautious budget will fuel speculation about an early 2027 election

*

Healey's 28 October budget will be an understated affair aimed at reassuring financial markets while global bond yields are rising, likely featuring modest tax rises to provide targeted and temporary support to ease cost-of-living pressures.

*

Healey will reduce his headroom to remain within the fiscal rules to about £15 billion, while postponing crucial decisions on long-term defense and welfare budgets until next year's government-wide spending review, probably in the autumn.

*

Deferring those choices will boost speculation that Prime Minister Andy Burnham is keeping the option of a 2027 general election in play, with EG maintaining the odds of a 2027 contest at 35%.

*

Read more here . Reach out to discuss: europe@eurasiagroup.net .

Geoeconomics—Iran war inflation shock threatens incumbents' electoral prospects

*

As the Iran war drives a large inflation shock, an EG review of 140 global elections in recent decades found that 80% of democratically elected governments that had elections within two years of a large inflation spike lost power.

*

A small share of entrenched or left-wing populist parties avoided electoral defeat after large inflation shocks.

*

The analysis found that 72% of incumbents lost power following a moderate inflation shock, with the remaining share proving most resilient when their populations were united behind a cause, such as a war.

*

Read more here . Reach out to discuss: geoeconomics@eurasiagroup.net .

EU, Geoeconomics—Chart of the Day

*

Reach out to discuss: geoeconomics@eurasiagroup.net .

Colombia—De la Espriella has political room for fiscal adjustment

*

President Abelardo De la Espriella’s administration continues to signal its commitment to fiscal consolidation while benefiting from broad congressional support and still-limited opposition as it prepares still undefined adjustment measures.

*

The administration will likely secure congressional approval for a budget that gives it some room to maneuver, pursue both spending cuts and revenue measures, and leverage IMF support to bolster confidence and improve on the budget’s apparent worst-case scenario.

*

But the pace and scale of the adjustment will depend on De la Espriella’s willingness to assume the associated political costs, and he will likely avoid the most unpopular measures, as shown by his recent backtracking on higher gasoline prices.

*

Read more here . Reach out to discuss: latinamerica@eurasiagroup.net .

upcoming conference calls

*

21 October 10:00 AM ET—AI, cyber power, competition, and global risk update. Register here .

*

22 October 10:00 AM ET—US politics update with former Treasury deputy secretary Derek Theurer. Register here .

eg in brief

Brazil—Election update: EG assigns Senator Flavio Bolsonaro's odds of winning to have fallen to 70% as polling tightened, with an estimated lead of close to two points. President Luiz Inacio Lula da Silva’s polling gains reflect more effective negative campaigning against Bolsonaro, stronger social media mobilization, and less attention to the Federal Supreme Court scandal that weighed his campaign in the first round. A Lula victory would likely trigger a sharp sell-off and force fiscal course correction, with risks stemming from a difficult public opinion backdrop in 2027, a conservative congress, and a fiscal adjustment plan lacking enough credibility to lower interest rates. Read more here . Reach out to discuss: brazil@eurasiagroup.net .

Upcoming events:

*

21 October: Events: Tesla, Meta, and IBM earnings; Data: Japan trade, and UK CPI; Central bank decisions: Indonesia, Israel, and Namibia.

*

22 October: Central bank decisions: Philippines, South Korea, and Turkey.

*

23 October: Data: Eurozone, Japan, UK, and US S&P, India HSBC Manufacturing PMI, Taiwan industrial production, and US UMich consumer sentiment; Central bank decisions: Kazakhstan and Russia.

*

25 October: Events: Brazil presidential runoff.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, with the help of Blaise Hanson, Luisa Moreira, and Marianne Moreira.

We love feedback! Send us a note at DailyBrief@eurasiagroup.net .

closing quip

“Even your dad.”—Lula quipped in response to Flavio’s erroneous claim that 73% of inmates voted for Lula.

EG Daily Brief
DailyBrief@eurasiagroup.net

© 2026 Eurasia Group. All rights reserved. This material was produced by Eurasia Group for use by the recipient. This is intended as general background research and is not intended to constitute advice on any particular commercial investment or trade matter or issue and should not be relied upon for such purposes. It is not to be made available to any person other than the recipient. No part of this publication may be reproduced, stored in a retrieval system, or transmitted in any form or by any means, electronic or otherwise, without the prior consent of Eurasia Group.
X-HG-DocID cmvgmin2d3nrq07n39u1wnw9p

Opt Out | Customize Email Preferences